PwC DBAC – Case Study 2

Submission Template

Question 1: Before signing the Directors' Responsibility Statement (DRS) that internal financial controls are adequate and effective, mention any three types of evidence or reports that the Board and Audit Committee should review in a case like GlobalTech.

Before signing the DRS, the Board and Audit Committee should review the following evidence:

1. **Internal audit and ICFR (Internal Control over Financial Reporting) testing reports**, which show the results of control testing and remediation of weaknesses.
2. **Inventory verification reports and physical verification results**, which are critical for addressing the specific discrepancies seen in GlobalTech.
3. **Statutory auditor's reports and management representation letters** to ensure the integrity of the financial statements and asset safeguarding.

Question 2: Explain why Board composition and independence are important for good corporate governance in a Company. Describe the key attributes that should be considered when constituting the Board and its committees.

Independence is essential because independent directors bring an unbiased perspective, actively identify and prevent conflicts of interest, and safeguard the interests of all stakeholders. When constituting the Board, key attributes must include a balanced mix of executive and non-executive/independent directors, gender diversity, and a diverse range of professional expertise, including finance, global business, IT, cybersecurity, ESG, and risk management.

Question 3: Explain how the Board of Directors should meet global expectations regarding (a) internal financial reporting, and (b) external disclosures and transparency (a) For **internal financial reporting**, the Board must ensure robust Internal Financial Controls (IFC) are designed and operating effectively so that financial transactions are properly authorized, recorded, reported, and assets are protected from fraud. Strict segregation of duties and adherence to global standards like COSO (b) For **external transparency**, the Board must oversee the timely, accurate, and fair public disclosure of financial results, material events, and governance reports to build trust and ensure accountability with investors and regulators
Question 4: State the main responsibilities of the Board for ESG (Environmental, Social, Governance) reporting, and explain how weak ESG disclosure can create risks for the Company. The Board's main responsibilities for ESG include embedding sustainability into the business model, setting clear ESG goals, and overseeing ESG risks and public disclosures. Weak ESG disclosure creates significant vulnerabilities, including reputational damage, lowered ESG ratings (which impacts investor trust), and regulatory non-compliance, ultimately threatening the organization's long-term sustainability and market valuation.

Question 5: Explain why the quality of information given to the Board is important for good governance and mention practical steps the Board can take if it feels the information is not adequate.

High-quality information directly mitigates information asymmetry, empowering the Board to make informed, risk-aware decisions, ensuring the Board can exercise independent judgment and make informed, risk-aware decisions. If information is inadequate, the Board should demand real-time digital dashboards, mandate the early circulation of detailed board papers, implement real-time digital risk and compliance dashboards, and establish direct communication channels with internal auditors and independent external experts without management interference.